



FINANCIAL POLICIES MANUAL

GAAP accounting · budgets · monthly statements · controls · resident funds · fundraising — SHSS H.1.8

Document Reference	ECC-FIN-POL-2026-001
Version / Effective Date	1.0 — July 2026
Approved By	Executive Director
Review Date	July 1, 2027 (annual)
Applies To	All Evergreen Community Care programs — MCFD (children & youth) and CLBC (adult) streams
Legislative / Standards Basis	MCFD SHSS H.1.8 (rev. April 2026); CLBC contract financial terms; Canadian accounting standards for not-for-profit organizations (GAAP/ASNPO); Income Tax Act (CRA); BC Societies Act; BC Employment Standards Act

1. Policy Statement

Evergreen Community Care operates an accounting system in accordance with generally accepted accounting principles that identifies and records all income and expenditures, produces an annual budget and monthly financial statements, provides the annual financial report each funder requires, and keeps financial records retrievable for funder and audit review (SHSS H.1.8). Public funds are spent only on the purposes for which they were contracted.

2. Roles and Signing Authority

Board / Directors	Approve the annual budget and annual financial statements; appoint any auditor/reviewer; approve this policy
Executive Director (ED)	Overall financial accountability; primary signing authority; approves expenditures above the PM limit; presents monthly statements and the annual report
Program Manager (PM)	Program budget management; approves program expenditures within the delegated limit set in Schedule 1; reviews monthly program statements; monthly reconciliation sign-off
Bookkeeper / Accountant	Maintains the GAAP ledger; prepares monthly statements by the 15th; payroll processing; reconciliations; supports the annual report
Two-signature rule	All cheques/EFT releases above the threshold in Schedule 1 require two authorized signers; no signer approves a payment to themselves; blank cheques are never pre-signed

3. Budgets and Reporting (SHSS H.1.8 core cycle)

Deliverable	DUE DATE	Prepared By	Approved By
Annual program budget (per funded staffing model)	Before fiscal year start	PM + Bookkeeper	ED / Board
Monthly financial statements — all income and expenditures	By the 15th of the following month	Bookkeeper	ED (PM for program view)
Bank + credit card reconciliations	Monthly, with statements	Bookkeeper	PM sign-off
Budget-to-actual variance review (flag >10% lines)	Monthly	PM	ED
Annual financial report to funder (MCFD / CLBC format)	Per contract deadline	Bookkeeper/ED	ED / Board
Annual financial statements (review/audit per funder threshold and Societies Act)	Within 6 months of year-end	External accountant	Board

4. Expenditure Controls

Approval limits	Set in Schedule 1 (e.g., PC petty purchases; PM to \$X; ED above); anything outside budget lines needs ED pre-approval
Purchasing	Original receipts/invoices required for every expenditure, coded to the budget line; no reimbursement without a receipt; comparative quotes for major purchases per Schedule 1
Petty cash	Fixed float per program; locked; receipts + log for every disbursement; PC reconciles monthly; PM spot-checks quarterly
Credit/purchase cards	Issued by ED only; itemized receipts submitted monthly; personal use prohibited; limits per Schedule 1
Payroll	Processed per the BC ESA and the Staff Binder Part 2; only lawful deductions; PM verifies hours against schedules before each run
Mileage & travel	Pre-approved; claimed on the expense form at the posted rate with dates and purpose
Segregation of duties	The person who approves a payment is not the sole person who records and reconciles it; in small programs the ED provides the compensating monthly review

5. Resident / Youth Funds (trust handling)

Principle	Money belonging to a youth or adult in care (allowances, gifts, benefits) is theirs — never mixed with program funds and never used for program expenses
Individual ledger	Each person has a funds ledger: every receipt and disbursement dated, described, signed by staff, and where able, by the person; receipts attached
Storage	Cash held in the locked cabinet, separate from petty cash; balances above the Schedule 1 cash limit deposited/managed per funder direction
Oversight	PC reconciles each ledger monthly; PM reviews quarterly; ledger presented at care plan reviews and provided at discharge with remaining funds — signed receipt required

6. Fundraising and Other Income (SHSS H.1.8(e))

Authorization	All fundraising activities require ED approval in advance; activities must be lawful, ethical, and consistent with ECC's purpose; funder rules on fundraising with/around persons in care are followed
Handling	Two people count fundraising cash; receipts issued; proceeds recorded to a designated ledger line and used only for the stated purpose
Donations	Receipted per CRA rules where applicable; donations never create obligations toward donors regarding placements or services; gifts-in-kind logged
Persons in care	Youth/adults are never required to fundraise; images or stories used only with proper written consent (SW/guardian; SHSS B.3)

7. Records, Retention, and Audit

Retention	Financial records kept 7 years (CRA 6-year minimum + 1) per ECC-REC-POL-2026-001; retrievable for funder review at any time (SHSS H.1.4, H.1.8)
Funder access	MCFD/CLBC may review financial records per contract; requests are routed through the ED and answered within contract timelines
Irregularities	Suspected fraud, missing funds, or misuse is reported to the ED immediately (to the Board chair if the ED is involved); investigated; funder notified where required

Schedule 1 — Limits (complete and re-approve annually)

PM expenditure approval limit	\$
Two-signature threshold (cheques/EFT)	\$
Petty cash float per program	\$
Resident funds cash-on-hand limit	\$
Quotes required above	\$
Credit card limit(s)	\$
ED — Signature / Date	

8. Compliance Calendar — Finance

Task	DUE DATE	DATE DONE	INITIALS
Monthly statements + reconciliations complete	By the 15th monthly		
Petty cash + resident fund ledgers reconciled	Monthly		
Budget-to-actual variance review	Monthly		
Annual budget approved	Before fiscal year		
Annual financial report submitted to funder	Per contract		
Schedule 1 limits re-approved; policy review	July 1 annually		

Approval & Acknowledgement

Executive Director — Signature / Date	
Board Chair (where applicable) — Signature / Date	
Program Manager — Signature / Date	